

# Basics of personal finance

# What is Personal Finance?

**Personal Finance** is simply the management of money and financial decisions for an individual or a household. It encompasses how you earn, save, spend, invest, and protect your financial resources.

A common misconception is that personal finance is about complex maths or being rich. In reality, it is much more about **behavior and psychology** than numbers. It is the art of aligning your money with your life goals.

**The Golden Rule of Personal Finance:** *It doesn't matter how much money you make; it matters how much money you keep, and how hard that money works for you.*

# Inflation

**Inflation is the gradual increase in the prices of goods and services over time.**

When inflation occurs, every single unit of currency you own buys a smaller percentage of a good or service. In other words, inflation reduces your **purchasing power**—the real volume of stuff your money can actually buy.

**The Cost of Doing Nothing:** If you lock ₹1,00,000 in a safe today, and inflation averages a modest 6% per year, your money will still say "₹1,00,000" in 10 years. However, its actual purchasing power will drop to roughly **₹55,800**. You will have lost nearly half your wealth without spending a single rupee.

## The Reality of Purchasing Power

Because everyday prices rise continuously, your income and savings must grow at a rate equal to or higher than the inflation rate just for you to stay financially in the same place.

If your bank account pays you **4% interest**, but the country's inflation rate is running at **6%**, you aren't actually making a 4% profit. You are losing **2%** of your wealth's purchasing power every single year.

*This core problem is exactly why we cannot rely on saving alone. It bridges the gap perfectly to our next topic: the crucial difference between **Saving and Investing**.*

## Saving vs. Investing

Many people use the words "saving" and "investing" interchangeably, but they serve completely different purposes. Mixing them up is one of the biggest financial mistakes a beginner can make.

Saving is for peace of mind and short-term safety. Investing is for wealth creation and long-term goals.

- If you need the money **soon**, or for an **emergency**, **SAVE IT.**
- If you want to **grow** your wealth and don't need it for **years**, **INVEST IT.**

| Feature      | Saving                                                | Investing                                                  |
|--------------|-------------------------------------------------------|------------------------------------------------------------|
| Core Goal    | Capital Preservation (keeping money exactly as it is) | Capital Growth (making money grow over time)               |
| Risk Level   | Extremely Low                                         | Moderate to High (values fluctuate daily)                  |
| Returns      | Low & Predictable (typically 3-6% in bank/FDs)        | Potentially High (historically 10-15% over long periods)   |
| Availability | Instant (highly liquid cash)                          | Restricted (best left untouched for 3-5+ years)            |
| Enemy        | <b>Inflation</b> (loses value over time)              | <b>Market Volatility</b> (loses value in short-term drops) |

# The Power of Compounding

Before learning *how* to save, you need to understand the powerful engine that rewards you for doing it. That engine is called **compounding**.

Compounding is the reason why small amounts of money saved today can turn into massive wealth over time. It is often called the "eighth wonder of the world."

## What is Compounding?

To understand compounding, you first need to know how standard interest works.

- **Simple Interest:** You invest ₹10,000, and it earns 10% interest every year. Every year, you make ₹1,000. It never changes. Your money grows slowly and steadily in a straight line.
- **Compound Interest:** You earn interest on your original money **PLUS** the interest you have already earned. It is money making money, and then that new money making even more money.

## Emergency Fund: Your Financial Shield

Life is unpredictable. Jobs can be lost, medical emergencies can strike, cars break down, or houses require urgent repairs.

Without an emergency fund, a single unexpected bill can completely derail your life. It forces you into a dangerous cycle:

- Borrowing via high-interest credit cards or personal loans.
- Breaking your long-term investments (like mutual funds) at the worst possible time, ruining your compounding progress.

*An emergency fund ensures that a life emergency remains a **temporary inconvenience**, rather than becoming a lasting financial disaster.*



## How Much Should You Save?

The standard rule of thumb is to save **3 to 6 months' worth of your essential living expenses**.

"Essential expenses" do not include luxury dining or weekend trips. They mean the bare minimum you need to survive:

1. Rent/Home EMI
2. Groceries and utilities (electricity, water, internet)
3. Insurance premiums
4. Existing mandatory loan payments (Education/Car loans)

**The Calculation:** If your absolute bare-minimum monthly cost to run your household is ₹40,000, your target Emergency Fund should be between **₹1,200,000** and **₹2,400,000**.

## Where to Keep It Safely

Remember our previous rule: *Saving is for peace of mind and short-term safety*. Your emergency fund must never be invested in risky assets like stocks or equity funds.

It needs to satisfy two strict rules: **Safety** (zero risk of losing value) and **Liquidity** (you can access the cash within minutes or hours).

You can keep

Separate Savings Account

Liquid Mutual Funds , etc

***The Golden Rule:*** *If it's not an emergency, it doesn't touch this fund. A sudden vacation, a festive sale, or a new phone launch are not emergencies.*

## Insurance

If an emergency fund is your shield against everyday problems, **insurance** is your shield against major life disasters.

A big mistake beginners make is treating insurance as a way to grow money or get "guaranteed returns." True insurance is not an investment. You pay a small fee (called a **premium**) to protect yourself from a huge expense that you could never afford to pay on your own.

For a beginner, there are only **two insurance policies** you absolutely must have.

## 1. Health Insurance (To Protect Your Savings)

Hospital and medical costs are rising very fast. A single major illness or surgery can completely wipe out all your hard-earned savings in just a few days.

- **How it works:** You pay a fee every year, and the insurance company pays your hospital bills if you get sick or injured.
- **Important Tip:** Do not rely only on the insurance given by your company. If you lose your job or change companies, your insurance stops. It is always best to buy your own personal health insurance policy while you are young and healthy, as it costs much less.

## 2. Term Life Insurance (To Protect Your Family)

You only need life insurance if you have family members who depend on your income to live (like your parents, wife, or children). If no one depends on your money, you do not need life insurance yet.

- **The Only Type to Buy: Pure Term Insurance.** You pay a small amount every year. If something happens to you, your family gets a huge amount of money (like ₹1 Crore) so they can pay off debts and survive. If you live safely through the policy, you get nothing back.
- **Why it's great:** Because it does not promise to "give your money back," it is incredibly cheap. A young adult can get a huge cover of ₹1 Crore for less than ₹1,000 a month.

## **The Beginner Trap: Avoid Mixed Plans**

Agents often try to sell products like **ULIPs** or **Endowment Plans** that promise "life insurance plus investment returns."

Avoid these. They give a very low insurance amount and very poor returns on your money.

**Keep them separate:** Buy pure term insurance for safety, and invest your savings into mutual funds for growth.

## How to Save: Simple Habits that Work

Now that you know the rules, the last step is to put them into action. The big question is: How do you save money without feeling like you are missing out on a fun life?

Saving is not about stopping all your fun or living poorly. It is just about being smart with your money. Here are two easy ways to start.

### 1. Pay Yourself First

Most people try to save money using this wrong method:

$$\text{Income} - \text{Expenses} = \text{Savings}$$

They get their salary, spend it on everything they want, and then try to save whatever little bit is left at the end of the month. Usually, nothing is left.

To grow your wealth, you must change that formula to this:

$$\text{Income} - \text{Savings} = \text{Expenses}$$

## 2. The 50/30/20 Rule

If you do not know how to split your monthly income, use this very simple guide:

- **50% for Needs (Survival):** Half of your income goes to things you absolutely must pay for. This includes house rent, electric bills, groceries, basic medicines, and loan payments.
- **30% for Wants (Lifestyle):** You are allowed to enjoy your hard-earned money! This part covers eating out, movies, clothes, trips, and entertainment apps.
- **20% for Savings & Investing (Your Future):** This part goes straight into building your emergency fund, paying for insurance, or investing in mutual funds to beat inflation.



Thank you